








Modelling Financial Markets

Chapter 8: Backtesting and Evaluating Risk Forecasts



Daniel Traian PELE

Bucharest University of Economic Studies
IDA Institute Digital Assets
Blockchain Research Center
AI4EFin Artificial Intelligence for Energy Finance
Romanian Academy, Institute for Economic Forecasting
MSCA Digital Finance

How Can We Tell Whether a Risk Forecast Is Useful?

Three groups of questions

- **Calibration**
  - is a VaR (Value-at-Risk) or ES (Expected Shortfall) forecast right, day after day?
  - can a backtest tell?
- **Comparison**
  - which of several forecasts is better?
  - is the gap significant?
- **Decision**: what can we conclude when the tail holds only a few days a year?
- Technical detail sits at the end, in the Appendix

What you should be able to do

- test the number and the timing of VaR breaches and state the size and power of each test at your T
- backtest ES with residuals, Z_2 by simulation and statistics built on the PIT (probability integral transform)
- rank (VaR, ES) forecasts with a consistent score, DM (Diebold–Mariano) tests and the MCS (model confidence set)
- judge what a distribution-free (conformal) VaR does and does not guarantee

How to Study This Chapter

Basic route

1. breaches and what a correct VaR implies
2. Kupiec, Christoffersen and duration tests, and their power in one year
3. the Basel traffic light
4. ES backtests: McNeil–Frey residuals and Z_2
5. ranking (VaR, ES) with FZ0, Diebold–Mariano and the MCS
6. split conformal VaR and the final model choice

Deeper study (optional)

- ⊡ the DQ test, Monte Carlo size and power, estimation risk
- ⊡ Du–Escanciano and multinomial ES tests
- ⊡ Murphy diagrams, Giacomini–White, the three-zone test
- ⊡ ACI, the case study, the AI section and the Appendix

Worked exercises: Seminar 8, A1 (Kupiec), A2 (Christoffersen), A4 (Z_2), B2 (FZ0 and DM); short numeric self-checks close the chapter

Losses, VaR and ES: the Objects We Test

- **Backtesting**: compare risk forecasts made with the information $\mathcal{F}_{t-1}$ with the outcomes that followed; $\mathcal{F}_{t-1}$: everything known at the close of day $t-1$
- Daily log return $X_t = r_t = \ln(P_t/P_{t-1})$, P_t: closing price on day t; daily **loss** $L_t = -r_t$ (positive number = money lost)
  - not the simple change: a close falling from 100 to 95 is a simple change of -5%, but $r_t = \ln 0.95 = -5.13\%$, so $L_t = 5.13\%$; log returns add up over days, simple changes do not
  - charts and tables show L_t, VaR and ES in percent; code stores the same loss in decimals (0.0513)
- **VaR**: the loss exceeded with probability α, minus the α-quantile q_α of the return (Chapter 7)
  - $\mathrm{VaR}_\alpha(X) = -\inf\{x : \ P(X \le x) > \alpha\} = -q_\alpha(X)$; inf: the smallest x at which the distribution function exceeds α
  - equivalently, the $(1-\alpha)$-quantile of the loss L_t; e.g. VaR 1% = 3%: the loss should exceed 3% on about 1 day in 100
- **ES**: the average of the quantiles q_u over all tail levels $u \le \alpha$, i.e. the mean loss beyond VaR
  - $\mathrm{ES}_\alpha(X) = -\dfrac{1}{\alpha}\displaystyle\int_0^\alpha q_u(X)\,du = E\left[L_t \mid L_t > \mathrm{VaR}_\alpha\right]$ (continuous case)
  - e.g. Student-t losses with $\nu = 4$, standard deviation 1% and $\alpha = 2.5\%$: VaR = 1.96%, ES = 2.82%; always $\mathrm{ES} \ge \mathrm{VaR}$

Breaches and What a Correct VaR Implies

- Levels are tail probabilities: VaR 1% ($\alpha = 0.01$), VaR 2.5% and ES 2.5% ($\alpha = 0.025$); Basel used VaR 1% over 10 days, FRTB (Fundamental Review of the Trading Book) uses ES 2.5%, backtests use one-day forecasts
- A **breach** (exception) occurs when the loss exceeds the forecast
  - $I_t = 1\{L_t > \mathrm{VaR}_t\}$, with target rate α; $1\{\cdot\}$: indicator, 1 if the condition holds, 0 otherwise; VaR_t: the forecast made on day $t-1$ for day t
- Ideal **conditional calibration**: whatever we knew yesterday, today's breach probability is exactly α (Christoffersen (1998))
  - $P(I_t = 1 \mid \mathcal{F}_{t-1}) = \alpha$ for all t, so the I_t are i.i.d. Bernoulli(α): independent coin flips that equal 1 with probability α
- Two testable consequences
  - **Unconditional coverage**: about αT breaches in T days
  - **Independence**: breaches do not cluster

Six Ways to Forecast Tail Losses

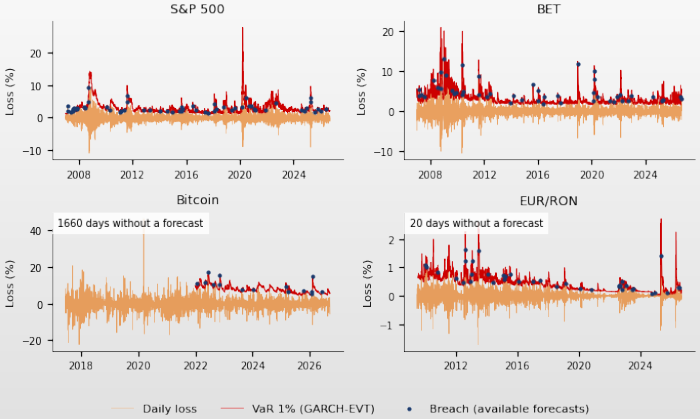
Model	One-day VaR and ES from
HS	historical simulation: the empirical quantile of order $1-\alpha$ of the last 1000 losses
Normal	the Normal distribution with the window mean and standard deviation
Student-t	a Student-t fitted to the window (location, scale, degrees of freedom ν)
GARCH-t	GARCH (generalised autoregressive conditional heteroskedasticity, Chapter 5): $\sigma_t^2 = \omega + a\,\varepsilon_{t-1}^2 + b\,\sigma_{t-1}^2$, variance = constant + reaction a to yesterday's squared shock $\varepsilon_{t-1} = r_{t-1} - \mu$ + persistence b; Student-t shocks
FHS	filtered HS: GARCH volatility $\times$ empirical quantiles of $z_t = \varepsilon_t/\sigma_t$
GARCH-EVT	EVT (extreme value theory) tail: GARCH volatility $\times$ a GPD (generalised Pareto) tail fitted to the largest 10% of standardised losses (McNeil & Frey (2000))

- **Unconditional** (HS, Normal, Student-t): one distribution for the whole 1000-day window; every day in the window has the same weight, so the forecast reacts slowly to a volatility burst
- **Conditional** or **filtered** (GARCH-t, FHS, GARCH-EVT): a scale σ_t updated daily by GARCH $\times$ a standardised tail

How Are Forecasts Evaluated?

- Four series, each on its own calendar
  - S&P 500 and BET (Bucharest Stock Exchange index): closes
  - Bitcoin (trades every day); EUR/RON: BNR (National Bank of Romania) reference rate
- Rolling window of 1000 observations
  - each forecast uses data up to the previous day only
- Refits every 20 days
  - GARCH, Student-t and EVT parameters; volatility updated daily
- Evaluation days T, until 18.09.2026
  - S&P 500 4 959 and BET 4 937 (from 2007), EUR/RON 4 352 (from 2009), Bitcoin 3 384 (from 2017)

Four Markets, One Risk Model (1/2)



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Four Markets, One Risk Model (2/2)

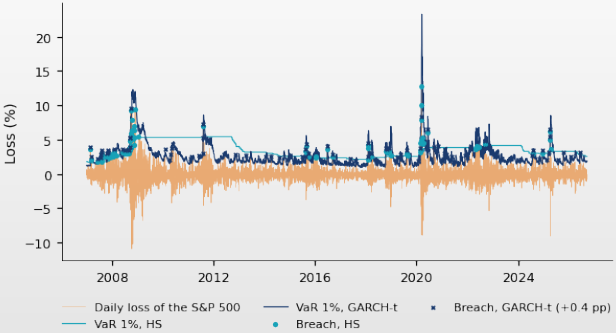
- Orange: daily losses; red: VaR 1% forecast by GARCH-EVT; blue dots: breaches ($L_t > \mathrm{VaR}_t$)
- The VaR moves with volatility: it doubles or triples in 2008, March 2020 and the 2022 crypto crash
- Breach rates: S&P 500 1.15%, BET 0.97%, Bitcoin —, EUR/RON —
- EUR/RON has a much smaller scale: a managed exchange rate, long calm spells, rare jumps
- Question for the chapter: is a rate close to 1% enough to call a model good?

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What a Backtest Can and Cannot Identify

- Each backtest checks one implication of conditional calibration
  - Kupiec: the breach rate; Christoffersen: first-order memory
  - duration tests: the spacing of breaches; DQ (Dynamic Quantile): predictability from chosen regressors
- H_0 is a **joint** hypothesis on the whole forecasting procedure
  - distribution, volatility dynamics, estimated parameters, window length and refit rule
  - A rejection does not say which component failed
- One outcome per day: evidence accumulates only over many days
  - the textbook χ^2 limits treat VaR_t as known
  - estimation risk: slide "Backtests Under Estimation Risk"
- Non-rejection is not validation: it is informative only if the test has power against the relevant alternatives at the available T

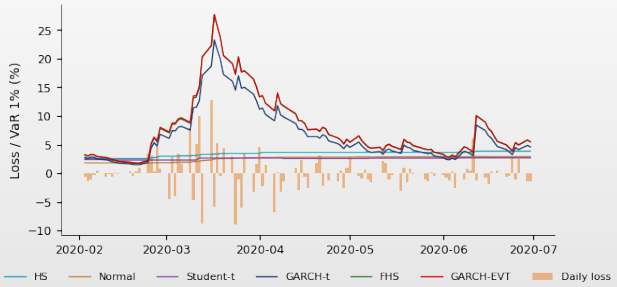
S&P 500: Two VaR Forecasts, 2007–2026



- VaR 1%: HS in teal, GARCH-t in blue; orange: daily losses; markers: breaches of each model
- HS is a step function
  - it jumps only when extreme days enter or leave the 1000-day window
  - GARCH-t rises the day after volatility rises
- Almost the same count: HS 83, GARCH-t 88 breaches in 4 959 days
- Similar counts can hide different timing
  - HS breaches arrive in bursts (2008, 2020)
  - so we must also test **when** breaches occur

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March 2020: The Stress Test Nobody Planned



- S&P 500, February–June 2020: daily losses (bars) and the VaR 1% of the six models
- Largest loss: 12.77% on 16.03.2020
  - a correct VaR 1% expects 1.04 breaches in these 104 days
- Breaches observed
  - unconditional: HS 12, Normal 17, Student-t 17
  - conditional: GARCH-t 3, FHS 2, GARCH-EVT 2
- Current volatility mattered more than the tail shape
  - a fat tail without a moving scale (Student-t) did not help

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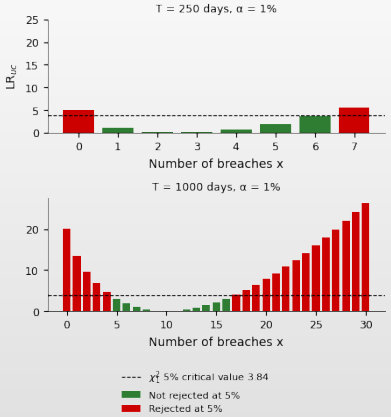
Kupiec (1995): the POF (Proportion of Failures) Test

- Data: $x = \sum_t I_t$ breaches in T days; estimated breach rate $\hat{\pi} = x/T$
- H_0: $\pi = \alpha$ (correct unconditional coverage), against H_1: $\pi \neq \alpha$; π: the true breach probability
- Likelihood ratio statistic (Kupiec (1995)): compares the Binomial likelihood of the observed count under α with that under the observed rate $\hat{\pi}$
  - $\mathrm{LR}_{uc} = -2 \ln \dfrac{(1-\alpha)^{T-x}\alpha^x}{(1-\hat{\pi})^{T-x}\hat{\pi}^x} \xrightarrow{d} \chi^2_1$
  - $\mathrm{LR}_{uc} \geq 0$, equal to 0 when $\hat{\pi} = \alpha$; it grows as $\hat{\pi}$ moves away from α; $\xrightarrow{d} \chi^2_1$: for large T its distribution under H_0 is chi-square with 1 degree of freedom
- Reject at 5% if $\mathrm{LR}_{uc} > 3.84$; two-sided: too few breaches also count as failure; for small T use the exact Binomial(T, α) distribution of x
- Worked example, S&P 500, GARCH-t, 2008: $x = 8$ in $T = 253$ (expected 2.53): $\mathrm{LR}_{uc} = 7.60$, $p = 0.0058$; exact Binomial $p = 2P(X \geq 8) = 0.009$

Which Probability Does This p-Value Sum?

- Too many breaches is a one-sided question. The upper Binomial tail answers it. Wrong coverage is two-sided: an excessively conservative forecast can fail as well.
- The worked example doubles the upper tail to form an equal-tail, two-sided p-value. Seminar 8, A1 reports the upper tail alone. Both use Binomial probabilities, but they ask different questions.
- For the fixed likelihood-ratio rule, identify every integer count that triggers rejection and sum its Binomial probability. This gives the actual size under the null and power under an alternative.
- With discrete counts, exact probability calculations do not guarantee that the rejection probability equals exactly 5%. State the alternative and rejection rule before comparing two reported p-values.

How Many Breaches Are Acceptable? (1/2)



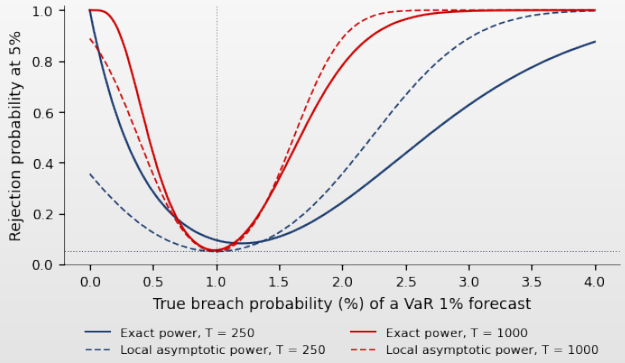
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How Many Breaches Are Acceptable? (2/2)

- LR_{uc} against the number of breaches x, one year (top) and four years (bottom) of VaR 1%
- $T = 250$: the test accepts x from 1 to 6; $T = 1000$: from 5 to 16
- Even $x = 0$ is rejected in one year
  - $\mathrm{LR}_{uc} = -500 \ln 0.99 = 5.03$: a VaR never breached is too conservative
- One year holds about 2.5 informative days for VaR 1%
  - use long samples, two levels ($\alpha = 1\%$ and 2.5%) and several tests

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Power of the POF Test



- Rejection probability at 5% against the true breach rate
  - solid: exact Binomial; dashed: local $\chi^2_1(\lambda)$ approximation, $\lambda = T(\pi - \alpha)^2/(\alpha(1-\alpha))$ (next two slides)
- $T = 250$, true rate $\pi = 2\%$
  - local power 36%, exact power 24%
  - a doubled breach rate passes three years in four
- The rule $\mathrm{LR}_{uc} > 3.84$ has actual size 9.5% at $T = 250$
  - $P(x = 0) = 8.1\%$ alone; not an exact 5% test
- 50% power needs
  - $\pi \approx 2.7\%$ at $T = 250$, $\pi \approx 1.7\%$ at $T = 1000$

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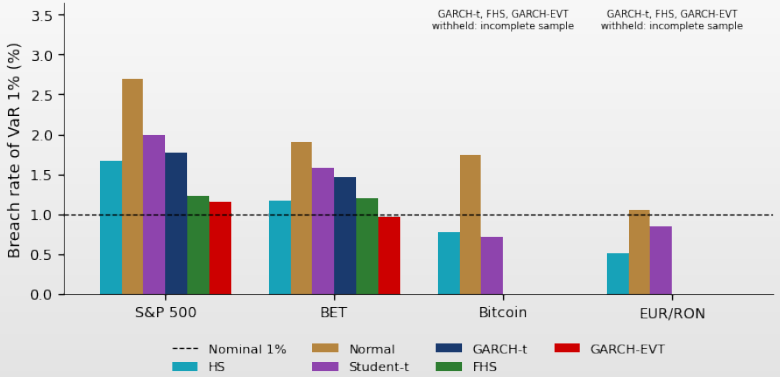
Power of the POF Test: Local Alternatives

- Local alternatives: the true rate approaches α as T grows
  - $\pi_T = \alpha + h/\sqrt{T}$, h: a fixed distance on the $\sqrt{T}$ scale
- Under these alternatives the POF statistic is approximately non-central χ^2
  - $\mathrm{LR}_{uc} = \dfrac{T(\hat{\pi}-\alpha)^2}{\alpha(1-\alpha)} + o_p(1) \xrightarrow{d} \chi^2_1(\lambda), \qquad \lambda = \dfrac{T(\pi-\alpha)^2}{\alpha(1-\alpha)}$
  - $o_p(1)$: a term that vanishes in probability as $T \to \infty$
  - λ: non-centrality; it grows with T and with the squared miss $(\pi-\alpha)^2$
- Reading
  - power $= P(\chi^2_1(\lambda) > 3.84)$: larger λ, more power
  - $T = 250$, $\pi = 2\%$: $\lambda = 2.53$; one year of a doubled rate gives a small λ

Local Power by Hand

- $\chi^2_1(\lambda)$ is the law of $(Z+\sqrt{\lambda})^2$ with $Z \sim N(0,1)$, and $3.84 = 1.96^2$, so
  - power $= P(|Z+\sqrt{\lambda}| > 1.96) = \Phi(\sqrt{\lambda} - 1.96) + \Phi(-\sqrt{\lambda} - 1.96)$, Φ: the $N(0,1)$ distribution function
- $T = 250$, $\pi = 2\%$: $\lambda = 2.525$, $\sqrt{\lambda} = 1.589$
  - power $= \Phi(-0.371) + \Phi(-3.549) = 0.355 + 0.0002 = 0.356$: the 36% of the dashed curve
- The exact power is lower, 24%: the test accepts x from 1 to 6, an event of probability 75.7% when $\pi = 2\%$
  - with 2.5 expected breaches a year, the count is too discrete and too skewed for the Normal approximation behind $\chi^2_1(\lambda)$
- Try $T = 1000$ yourself: self-check 3

Breach Rates Across Models and Markets



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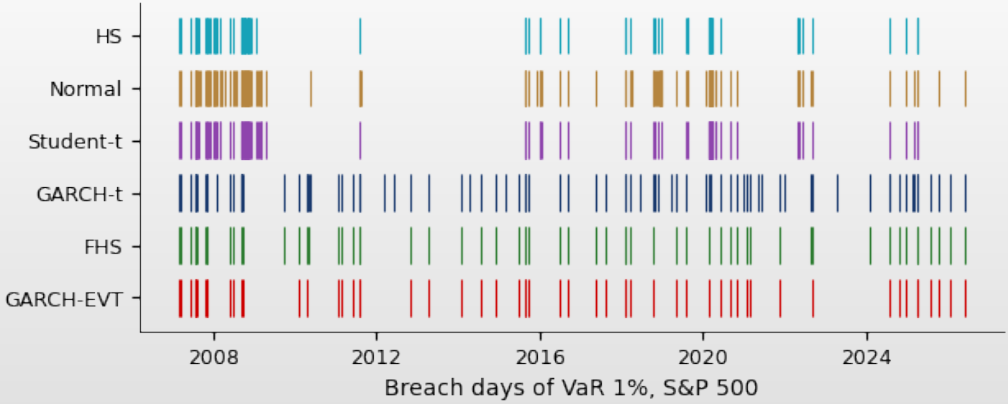
Reading the Breach Rates

- Share of days with $L_t > \mathrm{VaR}_t$ for VaR 1%; the Normal distribution fails except on EUR/RON: S&P 500 2.70%, BET 1.90%, Bitcoin 1.74%
- Same GARCH-t volatility, different tail: GARCH-t 1.77% and 1.46% versus FHS 1.23% and 1.20% (S&P 500, BET): evidence against the symmetric t tail on the loss side
- HS is too conservative on EUR/RON (0.51%): an old crisis in the window keeps its VaR high

Christoffersen (1998): Testing Independence

- Model I_t as a first-order Markov chain with $\pi_{ij} = P(I_t = j \mid I_{t-1} = i)$
- Count transitions n_{ij} (from state i yesterday to state j today); $\hat{\pi}_{01} = \frac{n_{01}}{n_{00}+n_{01}}$, $\hat{\pi}_{11} = \frac{n_{11}}{n_{10}+n_{11}}$
- H_0: $\pi_{01} = \pi_{11} = \pi$ (no memory), with $\hat{\pi} = (n_{01} + n_{11}) / \sum n_{ij}$
- Statistic: numerator = likelihood with one breach probability; denominator = likelihood with a probability that depends on yesterday's state
  - $\mathrm{LR}_{ind} = -2 \ln \dfrac{(1-\hat{\pi})^{n_{00}+n_{10}} \hat{\pi}^{n_{01}+n_{11}}}{(1-\hat{\pi}_{01})^{n_{00}} \hat{\pi}_{01}^{n_{01}} (1-\hat{\pi}_{11})^{n_{10}} \hat{\pi}_{11}^{n_{11}}} \xrightarrow{d} \chi_1^2$
  - Large when $\hat{\pi}_{11}$ (a breach after a breach) differs from $\hat{\pi}_{01}$ (a breach after a calm day); reject at 5% above 3.84
- Conditional coverage: $\mathrm{LR}_{cc} = \mathrm{LR}_{uc} + \mathrm{LR}_{ind} \xrightarrow{d} \chi_2^2$ tests both properties at once (2 degrees of freedom, 5% critical value 5.99)

When Do Breaches Happen? (1/2)



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When Do Breaches Happen? (2/2)

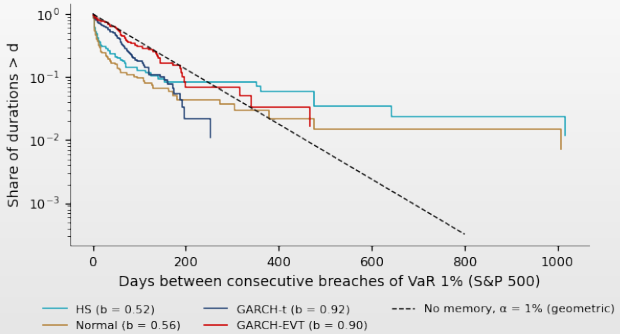
- Each tick: one breach of VaR 1% on the S&P 500; HS, Normal, Student-t: bursts in 2008, 2015–2016, 2018, 2020, 2022; filtered models: no multi-month bursts, yet some back-to-back breaches remain
- Counterexample, HS in 2007–2010 only: $n_{00} = 928$, $n_{01} = 38$, $n_{10} = 38$, $n_{11} = 3$; $\hat{\pi}_{11} = 0.0732$ versus $\hat{\pi}_{01} = 0.0393$, yet $\mathrm{LR}_{ind} = 0.95$, $p = 0.33$: $\hat{\pi}_{11}$ rests on 3 pairs
- Full sample, p-values of LR_{ind}: HS <0.001, Normal <0.001, Student-t <0.001, GARCH-EVT 0.031, FHS 0.046, GARCH-t 0.095
  - rejected at 5% for every model except GARCH-t; GARCH-EVT: a breach follows a breach with probability 0.053, against 0.011 after a calm day
  - the joint CC test does not reject GARCH-EVT ($p = 0.058$): its correct coverage part dilutes the signal
  - a subsample non-rejection is not a full-sample verdict

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Duration-Based Tests

- Duration D_i: number of days between breach $i-1$ and breach i
- Under a correct VaR, breaches have no memory: D_i is geometric with mean $1/\alpha$ (100 days for $\alpha = 1\%$)
- Christoffersen & Pelletier (2004): approximate the discrete durations by a continuous Weibull model
  - $f(D; a, b) = a^b\, b\, D^{b-1} e^{-(aD)^b}$: the Weibull density of a duration, $a > 0$: rate (inverse scale), $b > 0$: shape; $b = 1$ is the exponential (memoryless) case
  - $b < 1$: short durations are too frequent, i.e. breaches cluster
- H_0: $b = 1$ with a free, a likelihood ratio test (χ^2_1) of memorylessness, not of the mean $1/\alpha$ (coverage is left to Kupiec); first and last durations censored
- Uses the whole spacing pattern, not only consecutive days: more power against clustering

How Long Between Breaches?



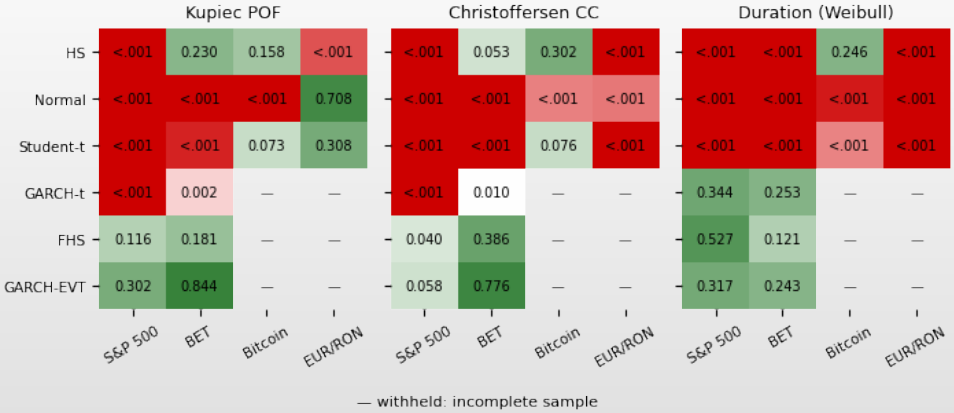
- Share of durations longer than d (log scale); dashed: no memory with $\alpha = 1\%$
- HS: $b = 0.52$, median 7 days, 44% of durations at most 5 days; test $p < 0.001$
- Normal: $b = 0.56$
  - GARCH-t: $b = 0.92$, median 45 days, $p = 0.344$
  - GARCH-EVT: $b = 0.90$, $p = 0.317$
- The long tail of HS durations: years without breaches after a crisis leaves a high VaR in the window

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Regression-Based Backtests: the DQ Test

- Under correct conditional coverage $\mathrm{Hit}_t = I_t - \alpha$ (the breach indicator, centred) is a martingale difference, i.e. unpredictable from the past: $E[\mathrm{Hit}_t \mid \mathcal{F}_{t-1}] = 0$, $\mathrm{Var}(\mathrm{Hit}_t \mid \mathcal{F}_{t-1}) = \alpha(1-\alpha)$
- So no $\mathcal{F}_{t-1}$-measurable variable may predict it: regress $\mathrm{Hit}_t = X_t\beta + u_t$ with $X_t = (1, \mathrm{Hit}_{t-1}, \ldots, \mathrm{Hit}_{t-4}, \mathrm{VaR}_t)$ and test $\beta = 0$
- Dynamic Quantile statistic (Engle & Manganelli (2004), Wald form with the null variance)
  - $\mathrm{DQ} = \dfrac{\hat{\beta}' X' X \hat{\beta}}{\alpha(1-\alpha)} = \dfrac{\mathrm{Hit}' X (X'X)^{-1} X' \mathrm{Hit}}{\alpha(1-\alpha)} \xrightarrow{d} \chi^2_6$
  - X: the $T \times 6$ matrix of regressors; Hit: the vector of hits; $\hat{\beta}$: OLS (ordinary least squares) estimate; u_t: regression error
  - DQ: explained sum of squares scaled by the null variance; 6 degrees of freedom = 6 regressors; large DQ = predictable hits
- Nests Kupiec and Christoffersen
  - $X_t = 1$ gives the score form $T(\hat{\pi} - \alpha)^2/(\alpha(1-\alpha))$
  - $X_t = (1, \mathrm{Hit}_{t-1})$: a 2-degree-of-freedom counterpart of Christoffersen's conditional coverage test, asymptotically equivalent to LR_{cc} but not numerically equal; testing only the lag coefficient corresponds to LR_{ind}
  - adds power against memory beyond lag 1 and hits that depend on the VaR level

All VaR Tests at a Glance (1/2)



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All VaR Tests at a Glance (2/2)

- p-values of the Kupiec POF, conditional coverage (CC), duration (Weibull) and Dynamic Quantile tests, VaR 1%; red: rejection, green: no rejection
- DQ rejects every S&P 500 model, including FHS (p <0.001) and GARCH-EVT (p <0.001)
  - hits are predictable from the VaR level and lagged hits, a failure that counting breaches cannot detect
- Different tests examine different failures: read the pattern, not one p-value
  - the unconditional models fail the duration test almost everywhere
  - GARCH-EVT is not rejected by conditional coverage or duration tests on BET
  - Its Bitcoin and EUR/RON tests are unavailable

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Size and Power of VaR Backtests: a Monte Carlo

- DGP (data generating process, the simulated truth): GARCH(1,1)-t fitted to the S&P 500 1990–2026 ($a = 0.102$, $b = 0.892$, $\nu = 6.1$); VaR 1%; 1000 paths; rejection rates (%) at 5%

Forecaster	T	POF	Cond. cov.	Duration	DQ
Correct (size)	250	**9.7**	1.1	15.0	8.6
	1000	6.4	3.3	8.0	11.0
	5000	4.9	3.4	4.6	**8.8**
Normal-GARCH (power)	250	**10.6**	4.8	14.8	18.8
	1000	30.2	19.9	8.2	30.2
	5000	83.7	77.2	7.3	70.7
HS, 1000 days (power)	250	51.5	17.0	**12.0**	32.5
	1000	46.4	46.9	68.3	73.8
	5000	57.1	86.6	100.0	99.5

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Size and Power of VaR Backtests: Reading the Table

- The three forecasters
  - Correct: true parameters and true σ_t (rejection rate = size)
  - Normal-GARCH: true σ_t, Normal tail (rejection rate = power)
  - HS, 1000 days: no volatility dynamics (rejection rate = power)
- Conventions
  - an undefined duration p (fewer than 3 durations, 28% of correct samples at $T = 250$) counts as non-rejection
  - Monte Carlo standard error: 0.7 points at 5%, 1.6 at 50%, 0.9 at the observed 9.7% of the bold POF cell
- The bold cells
  - in one year a Normal tail on the right volatility is almost invisible
  - HS clustering is seldom detected by the duration test at $T = 250$
  - DQ rejects a correct model more often than 5% even at $T = 5000$: simulate its critical values

Backtests Under Estimation Risk

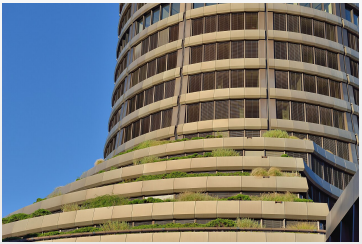
- Forecasts use the parameter estimate $\hat{\theta}$ obtained on R days; the test uses P out-of-sample days; the hits $\hat{I}_t = 1\{L_t > \mathrm{VaR}_t(\hat{\theta})\}$ are not Bernoulli(α) even under a correct model
- The correction depends on the forecasting scheme (fixed, rolling, recursive) and grows with P/R (Escanciano & Olmo (2010); expansion in the Appendix)
- Fixed scheme: 400 GARCH(1,1)-t paths, $R = 1000$; estimated-parameter rejection rates are unavailable because 76 fits are inadmissible or numerically unidentified
- This chapter uses a rolling window ($R = 1000$, refitted every 20 days); a fixed-scheme experiment does not measure the size of these rolling-window tests
- Remedy: reproduce the estimation inside the calibration, e.g. a parametric bootstrap that re-estimates the model on every simulated path (Seminar 8, B9)

The Traffic Light: a Binomial Count Rule

Exceptions	$P(X \leq x)$	Zone
0	8.11%	green
2	54.32%	green
4	89.22%	green
5	95.88%	yellow
7	99.60%	yellow
9	99.97%	yellow
10	99.99%	red

- Banks with internal models backtest daily VaR 1% (Basel Committee on Banking Supervision, BCBS (1996))
  - against actual P&L (profit and loss) over the last 250 days
- $X \sim \text{Binomial}(250, 0.01)$: exceptions of a correct VaR 1% in 250 days
- Yellow starts where $P(X \leq x) \geq 95\%$, red where $P(X \leq x) \geq 99.99\%$
- Only the **number** of exceptions counts, not their size or timing: simple, automatic, hard to game

Backtesting Rules in 1996 and 2019

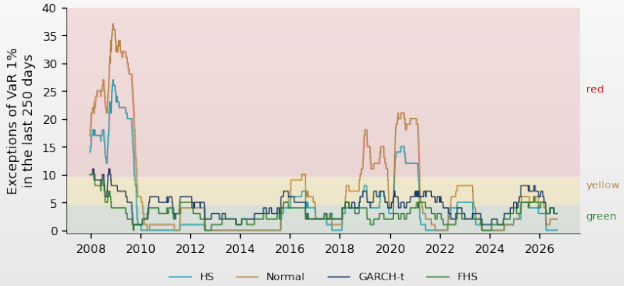


BIS (Bank for International Settlements) tower, Basel: seat of the BCBS secretariat

Photo: Taxiarchos228 (2014); Free Art License; Wikimedia Commons

- BCBS (1996): capital on VaR 1% over 10 days
  - multiplier 3, plus 0.40–0.85 in the yellow zone and plus 1 in the red zone
- BCBS (2019) (FRTB): capital on ES 2.5%, backtesting still on VaR
  - bank-wide: VaR 1%, 250 days; multiplier 1.50 (green, 0–4), 1.70–1.92 (yellow, 5–9), 2.00 (red, 10 or more)
  - trading desk: more than 12 exceptions of VaR 1% or 30 of VaR 2.5% in 12 months move the desk to the standardised approach
  - IMA (internal models approach) approval also requires a P&L attribution test (not covered here)
- VaR counts stay because they are simple
  - ES is not elicitable (section "Elicitability and Scoring Functions")
  - yet ES can be backtested (section "Backtesting Expected Shortfall")

The Traffic Light Through Time



- VaR 1% exceptions in the last 250 days, S&P 500; bands: green, yellow, red zones
- Share of days in red: Normal 22.3%, HS 14.7%, GARCH-t 2.0%, FHS 0.8%
- Peak: HS 27, Normal 37 exceptions
  - in the 250 days ending 01.12.2008; GARCH-t is yellow 46.5% of the time
- Overlapping windows: the penalty lasts a year
  - after a crisis, when capital is already strained

MFM_ch8_traffic_light

FRTB Desk Check on the Last 250 Days (Limits 12 and 30)

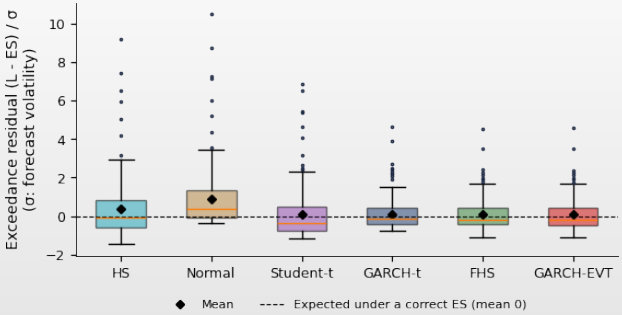
Model	S&P 500	BET	Bitcoin	EUR/RON
HS	0 / 2	4 / 7	3 / 4	1 / 5
Normal	2 / 2	6 / 9	3 / 5	1 / 4
Student-t	0 / 2	4 / 9	1 / 4	5 / 8
GARCH-t	3 / 6	4 / 9	3 / 5	4 / 5
FHS	3 / 4	4 / 6	4 / 5	3 / 4
GARCH-EVT	3 / 3	2 / 7	4 / 5	3 / 4

- Cells: exceptions of VaR 1% / VaR 2.5%
  - last 250 days of each series, to 18.09.2026
  - every model is well inside the limits
- Illustration only
  - FRTB applies the limits to desk P&L (actual and hypothetical), not to index returns
- The last year was calm
  - a green light today says little about the next crisis

McNeil and Frey (2000): Exceedance Residuals

- ES is an **average** beyond VaR: the information sits on about αT tail days (124 for the S&P 500 at $\alpha = 2.5\%$; 6.25 in one year, so a tail-mean standard error of order $1/\sqrt{\alpha T} \approx 0.40$ standard deviations of the tail losses)
- On each breach day of VaR 2.5%: $e_t = (L_t - \mathrm{ES}_t)/\sigma_t$, with $\sigma_t > 0$ the forecast volatility, known at $t-1$
- If VaR **and** ES are correct: $E[e_t \mid L_t > \mathrm{VaR}_t, \mathcal{F}_{t-1}] = 0$; a wrong VaR changes the conditioning event
- H_0: $E[e_t] = 0$ against H_1: $E[e_t] > 0$ (ES underestimated); one-sided t-statistic
- Few, fat-tailed residuals: p-value from an i.i.d. bootstrap of the centred residuals (McNeil & Frey (2000)), which assumes independent residuals; otherwise a block bootstrap

Exceedance Residuals on the S&P 500



- Distribution of $(L_t - \mathrm{ES}_t)/\sigma_t$ on breach days of VaR 2.5%; diamonds: means
- Means: Normal 0.875, HS 0.363, GARCH-t 0.100, FHS 0.104, GARCH-EVT 0.068
- Bootstrap p
  - Normal $<$0.001, HS $<$0.001, GARCH-t 0.025
  - FHS 0.072, GARCH-EVT 0.157
- Normal: tail mean too low by almost one volatility unit
  - the outliers (up to 10 units) decide capital adequacy

MFM_ch8_es_backtests

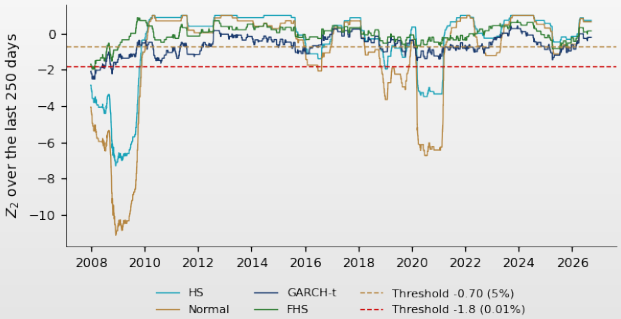
Acerbi and Szekely (2014): Testing ES Directly

- Breach indicator at the ES level: $I_t = 1\{L_t > \mathrm{VaR}_t^{\alpha}\}$, $N_T = \sum_t I_t$ (the number of breaches in T days), $\alpha = 0.025$; ES_t: the ES forecast for day t
- $Z_1 = 1 - \frac{1}{N_T}\sum_t \frac{L_t I_t}{\mathrm{ES}_t}$: is the average tail loss as large as forecast? (conditional on breaches)
- $Z_2 = 1 - \frac{1}{T\alpha}\sum_t \frac{L_t I_t}{\mathrm{ES}_t}$: tests frequency and size together
- Under H_0 (correct forecast distribution) $E[Z_2] = 0$; underestimated risk gives $Z_2 < 0$ (Acerbi & Szekely (2014))
- For $T = 250$ and many distributions, the 5% and 0.01% critical values are close to -0.70 and -1.8: reference thresholds for an ES traffic light

Getting p-Values by Simulation

- The null distribution of Z_2 depends on the forecast distributions F_t (the distribution function of L_t forecast by the model on day $t-1$)
- Algorithm (repeat $M = 2000$ times)
  - For each day draw $U_t \sim \text{Uniform}(0,1)$ and set $L_t^* = F_t^{-1}(U_t)$, a loss drawn from the forecast (F_t^{-1}: the quantile function)
  - Compute Z_2^* from the simulated losses with the same VaR and ES forecasts
- p-value = share of simulated Z_2^* at or below the observed Z_2
- Only tail draws matter: for HS and FHS we store the 25 largest window losses of each day
- S&P 500, full sample: $Z_2 = -0.664$ for GARCH-t ($p < 0.001$) versus -0.079 for FHS ($p = 0.209$); critical value about -0.150

Z_2 Over Rolling 250-Day Windows



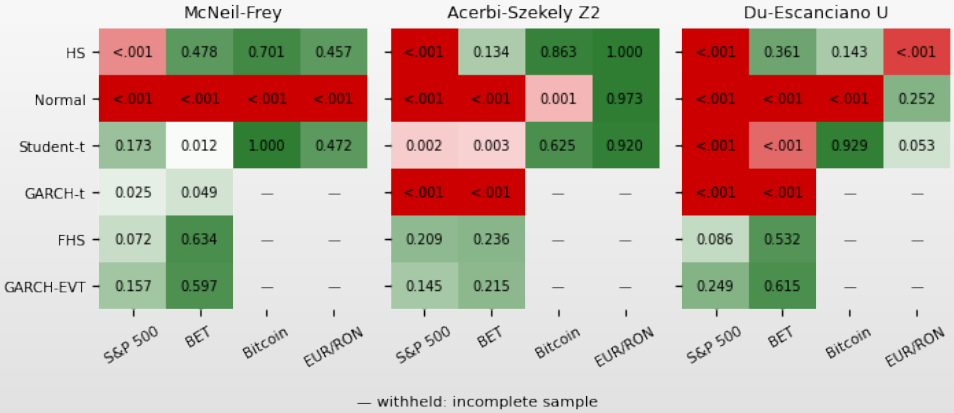
- Z_2 of ES 2.5%, S&P 500, last 250 days
  - reference thresholds -0.70 and -1.8
- Minimum of each curve and the end of its window
  - Normal -11.13 (04.12.2008), HS -7.30 (01.12.2008)
  - GARCH-t -2.52 (05.02.2008), FHS -1.97 (17.01.2008)
- Windows below -1.8
  - Normal 21.9%, HS 15.8%, GARCH-t 3.0%, FHS 0.7%
  - GARCH-t below -0.70 in 44.3% of windows
- Daily checks are repeated tests
  - false alarms accumulate (sequential monitoring, Appendix)

MFM_ch8_es_backtests

Du and Escanciano (2017): Cumulative Violations

- PIT (probability integral transform): $u_t = F_t(L_t)$, the forecast probability of a loss at most L_t; uniform on $(0,1)$ if the forecast distribution F_t is correct
- Cumulative violation: $H_t = \frac{1}{\alpha}\left(u_t - (1-\alpha)\right) 1\{u_t > 1-\alpha\}$: how deep into the tail the loss went
- Under H_0: $E[H_t] = \alpha/2$ and $\mathrm{Var}(H_t) = \alpha(1/3 - \alpha/4)$
- Unconditional test: $U = \sqrt{T}\,(\bar{H} - \alpha/2)/\sqrt{\alpha(1/3-\alpha/4)} \xrightarrow{d} N(0,1)$, with $\bar{H}$ the sample mean of H_t; $U > 1.645$: losses go deeper into the tail than forecast (one-sided, 5%)
  - the heat map on the next slides reports the two-sided $p = 2\Phi(-|U|)$: $U > 0$ means deeper losses than forecast (risk under-predicted), $U < 0$ shallower losses (risk over-predicted)
- Conditional test: Box–Pierce statistic on the first 5 autocorrelations of H_t, χ^2_5 (Du & Escanciano (2017))

All ES Tests at a Glance (1/2)



MFM_ch8_es_backtests

All ES Tests at a Glance (2/2)

- At the 5% significance level, FHS and GARCH-EVT are not rejected by McNeil–Frey, Z_2 and Du–Escanciano U separately on S&P 500 and BET
- Different nulls and inputs, different decisions: Student-t on the S&P 500 has McNeil–Frey $p = 0.173$ but Z_2 $p = 0.002$; these are calibration tests, not rankings
- GARCH-t is rejected by Z_2 on S&P 500 ($p < 0.001$) and BET ($p < 0.001$); GARCH-t, FHS and GARCH-EVT are unavailable on Bitcoin and EUR/RON because forecasts are missing on the original calendar
- Read U with its sign: on EUR/RON, HS has $U = -3.68$ ($p < 0.001$), a rejection because losses stay **shallower** than forecast; this matches Z_2 ($p = 1.000$) and its VaR 1% breach rate of 0.51%

MFM_ch8_es_backtests

Multinomial VaR Backtests: an Implicit ES Test

- ES 2.5% averages the quantiles beyond VaR 2.5%: test several VaR levels at once (Kratz, Lok & McNeil (2018))
- $N = 4$ tail levels $\alpha_j = 2.5\%\,(1 - (j-1)/4)$: 2.5%, 1.875%, 1.25%, 0.625%; each day falls in one of 5 cells via the PIT u_t
- Pearson statistic $S = \sum_{j=0}^{4} (O_j - Tp_j)^2/(Tp_j) \xrightarrow{d} \chi^2_4$: O_j observed and Tp_j expected days in cell j, cell probabilities $p_0 = 97.5\%$, $p_1 = \cdots = p_4 = 0.625\%$; large S = counts far from expected

p-value	S&P 500	BET	Bitcoin	EUR/RON
HS	<0.001	0.725	0.564	0.004
Normal	<0.001	<0.001	<0.001	<0.001
Student-t	<0.001	0.024	0.015	0.172
GARCH-t	<0.001	<0.001	—	—
FHS	0.003	0.862	—	—
GARCH-EVT	0.378	0.853	—	—

- A dash marks unavailable results because forecasts are missing on the original calendar: GARCH-t, FHS and GARCH-EVT comparisons are unavailable for Bitcoin and EUR/RON

Multinomial Cell Counts: S&P 500, GARCH-t

PIT interval	Observed days	Expected days
[0, 0.975]	4761	4 835.02
(0.975, 0.98125]	39	30.99
(0.98125, 0.9875]	46	30.99
(0.9875, 0.99375]	52	30.99
(0.99375, 1]	61	30.99

- The first cell lies outside the upper 2.5% loss tail
- Each of the four tail cells contains more days than expected under calibration

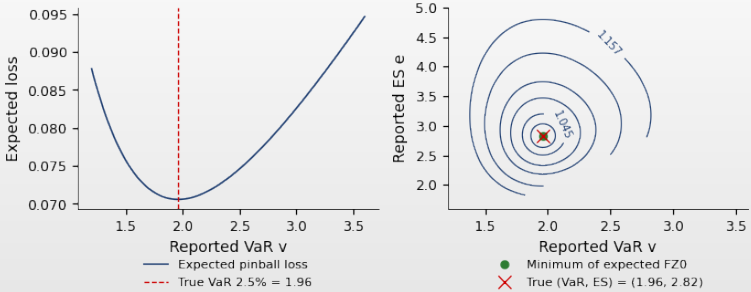
Testing Is Not Ranking: Consistent Scores

- A backtest asks whether a model is **acceptable** (several can pass, all can fail); comparative backtesting asks which is **better** (Nolde & Ziegel (2017))
- Ranking needs a **scoring function** $S(x, L)$, the loss of reporting x when L occurs; compare $\bar{S} = \frac{1}{T}\sum_t S(x_t, L_t)$, lower is better
- S is **consistent** for $\theta(F)$, and θ is **elicitable**, if $\theta(F) = \arg\min_x E_F[S(x, L)]$ (Gneiting (2011))
  - the truth minimises the expected score; ranking needs it to be the **unique** minimiser (strict consistency)
  - $\theta(F)$: the target functional (e.g. VaR) of the loss distribution F; E_F: expectation when $L \sim F$
- VaR: pinball loss $S(v, L) = (1\{L > v\} - \alpha)(L - v)$, v: the VaR forecast; for $E|L| < \infty$ and density $f > 0$ at the quantile
  - $\dfrac{\partial}{\partial v} E_F[S(v, L)] = F(v) - (1 - \alpha) = 0 \;\Rightarrow\; v = F^{-1}(1 - \alpha) = \mathrm{VaR}_\alpha$, and $\partial^2/\partial v^2 = f(v) > 0$
- ES is **not** elicitable on its own: no scoring function of the reported ES forecast e alone is minimised by the true ES (Gneiting (2011))

VaR and ES Together: Fissler and Ziegel (2016)

- The pair (VaR, ES) is jointly elicitable: Fissler & Ziegel (2016) characterise the whole family of consistent scoring functions (the FZ family)
- FZ0 loss, the zero-homogeneous member of the FZ family (Patton, Ziegel & Chen (2019)), with losses positive, $0 < v \leq e$, $E|L| < \infty$ and a true ES above 0
  - $\mathrm{FZ0}(v, e; L) = \dfrac{1\{L > v\}(L - v)}{\alpha\, e} + \dfrac{v}{e} + \ln e - 1$
  - v, e: the VaR and ES forecasts (positive losses); L: the realised loss
- First term: penalty for breaches, scaled by ES; last terms: penalty for reporting a large ES
- Example, one day, $\alpha = 2.5\%$, forecasts $v = 3\%$, $e = 3.9\%$
  - loss $L = 4.5\%$ (a breach): $\mathrm{FZ0} = 15.385 + 1.130 = 16.515$
  - loss $L = 1\%$ (no breach): only $v/e + \ln e - 1 = 0.769 + 1.361 - 1 = 1.130$
- Units: here v, e, L are in percent; only $\ln e$ depends on the unit
  - in decimals ($v = 0.03$, $e = 0.039$, as in the code) the same day scores -3.475 (no breach) and 11.910 (breach): every level moves by $\ln 100 = 4.605$
  - differences between models do not change, so they can be compared across assets; this is why the mean FZ0 losses in the code are negative (S&P 500, FHS: -3.551)
- Lower average FZ0 = better joint VaR and ES forecast

Elicitability in Pictures



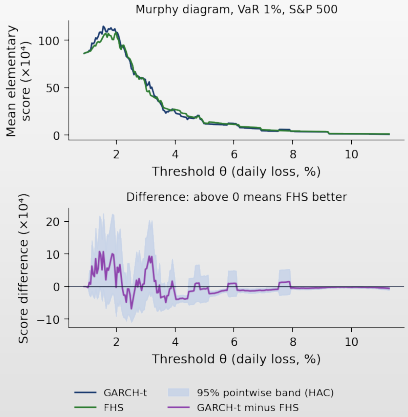
- Student-t losses with $\nu = 4$ and unit variance, $\alpha = 2.5\%$; expected losses computed on 2 million draws
- Left: the expected pinball loss is lowest at the true VaR 2.5%, 1.96; right: the expected FZ0 loss is lowest at (1.96, 2.82), the true (VaR, ES) up to the grid
- A forecaster who knows the truth has no incentive to report anything else: this is what makes ranking by average score meaningful

MFM_ch8_elicitability

Is the Ranking Robust to the Score? Elementary Scores

- For a quantile there are infinitely many consistent scores: $S(v, L) = (1\{L \le v\} - \tau)(g(v) - g(L))$, any increasing function g, $\tau = 1 - \alpha$ (the quantile level of the loss)
- Each is a mixture of **elementary scores** (Ehm, Gneiting, Jordan & Krüger (2016))
  - $S_\theta(v, L) = (1\{L < v\} - \tau)\,(1\{\theta < v\} - 1\{\theta < L\})$, $\theta \in \mathbb{R}$; θ: a threshold on the loss scale; S_θ penalises a forecast only when v and L fall on different sides of θ; the pinball loss is $\int S_\theta \, d\theta$
- Forecast A beats B under **every** consistent score iff $\bar{S}_\theta(A) \le \bar{S}_\theta(B)$ for all θ, with $\bar{S}_\theta$ the average elementary score over the T days
- **Murphy diagram**: plot $\bar{S}_\theta$ against θ; crossing curves mean the ranking depends on the chosen score

Murphy Diagram: GARCH-t versus FHS (1/2)



MFM_ch8_comparative

Murphy Diagram: GARCH-t versus FHS (2/2)

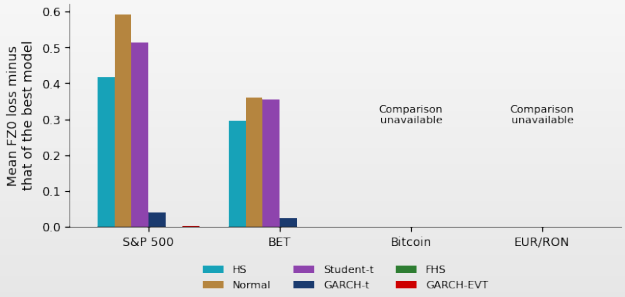
- S&P 500, VaR 1%, 2007–2026; θ from 0.9% to 11.3%; pinball ($\times 10^4$): GARCH-t 3.852, FHS 3.861, a tie under the usual score
- Below $\theta = 5\%$ the curves cross: FHS better on 47% of thresholds, band containing zero on 86%; above 5% GARCH-t lower on 89%: no dominance
- The 95% bands use HAC (heteroskedasticity- and autocorrelation-consistent) standard errors and are pointwise, not a simultaneous test of dominance: state the score before looking at the results

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The Diebold–Mariano Test on FZ0 Losses

- Loss differential of models A and B: $d_t = \mathrm{FZ0}_{A,t} - \mathrm{FZ0}_{B,t}$
- H_0: $E[d_t] = 0$ (equal predictive accuracy), Diebold & Mariano (1995); the statistic is the mean differential $\bar{d}$ divided by its standard error
- $$\mathrm{DM} = \frac{\bar{d}}{\sqrt{\widehat{\mathrm{LRV}}(d_t)/T}} \xrightarrow{d} N(0,1)$$
- $\widehat{\mathrm{LRV}}$: long-run variance with Newey–West weights (Newey & West (1987)), 9 lags; tail losses cluster, so d_t is autocorrelated
  - $\widehat{\mathrm{LRV}} = \hat{\gamma}_0 + 2\sum_{k=1}^{q}\left(1 - \frac{k}{q+1}\right)\hat{\gamma}_k$, $\hat{\gamma}_k$: autocovariance of d_t at lag k; lag rule $q = \lfloor 4(T/100)^{2/9} \rfloor = 9$ for $T = 4\,959$
- $\mathrm{DM} > 0$: model A has the larger average loss (worse); $|\mathrm{DM}| > 1.96$: significant at 5%

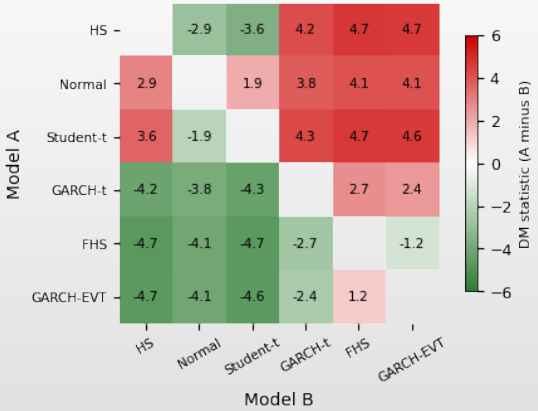
Average FZ0 Loss by Model



- Mean FZ0 loss of the (VaR 2.5%, ES 2.5%) forecasts minus that of the best model in each market
- Lowest FZ0 loss: FHS on S&P 500 and BET
- Comparison on the complete evaluation sample
  - On S&P 500 and BET, compare all six models on the same evaluation dates
  - Bitcoin and EUR/RON: the six-model comparison is unavailable because conditional forecasts are missing within the evaluation sample
- GARCH-t trails FHS on the S&P 500 by 0.040
  - the size of a gap does not tell whether the data separate the models: we test it

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Pairwise Diebold–Mariano Tests, S&P 500 (1/2)



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Pairwise Diebold–Mariano Tests, S&P 500 (2/2)

- DM of model A (row) minus B (column) on FZ0 losses; red: A worse, green: A better
- Against FHS
  - HS $\mathrm{DM} = 4.69$, GARCH-t $\mathrm{DM} = 2.66$: both significantly worse
  - GARCH-EVT $\mathrm{DM} = 1.24$: indistinguishable
- Normal minus HS: $\mathrm{DM} = 2.88$: a slow empirical quantile still beats a thin tail
- Fifteen pairwise tests: a multiple-testing problem
  - which models survive **jointly**? (model confidence set, MCS)

MFM_ch8_comparative

Comparing Forecasting Methods: Giacomini–White

- DM targets the population accuracy of **models**
  - with rolling 1000-day windows and refits we compare **forecasting methods**; estimation error never vanishes
- Giacomini & White (2006): H_0: $E[d_t \mid \mathcal{F}_{t-1}] = 0$ for the score differential $d_t = \mathrm{FZ0}_{A,t} - \mathrm{FZ0}_{B,t}$; valid for nested models and finite windows
- Test function $h_{t-1} = (1, d_{t-1})'$: information known at $t-1$ that might predict which method wins; $Z_t = h_{t-1} d_t$
  - $\mathrm{GW} = T\,\bar{Z}'\hat{\Omega}^{-1}\bar{Z} \xrightarrow{d} \chi^2_2$, $\hat{\Omega} = T^{-1}\sum_t Z_t Z_t'$ (one step ahead); $\bar{Z}$: the mean of Z_t, $\hat{\Omega}$: its estimated covariance; 2 degrees of freedom = 2 instruments; $h_{t-1} = 1$ gives the DM form
- S&P 500 against FHS: GARCH-EVT $\mathrm{GW} = 6.71$ ($p = 0.035$), GARCH-t 7.60 ($p = 0.022$), HS 53.16 ($p < 0.001$)
- GARCH-EVT, a tie under DM, is rejected conditionally
  - equal conditional predictive ability fails for these instruments
  - what drives the rejection needs a separate test

Three-Zone Comparative Backtesting (Nolde and Ziegel)

- Internal model A against a standard model S (here HS), mean FZ0 loss; two one-sided tests at 5% (Nolde & Ziegel (2017))
- H_0^-: A at least as good as S; H_0^+: A at most as good. **Green**: reject H_0^+; **red**: reject H_0^-; **yellow**: neither
- One-sided cut-offs: **green** if $\mathrm{DM} < -1.645$, **red** if $\mathrm{DM} > 1.645$, **yellow** otherwise; a DM of -1.8 is green here although $|\mathrm{DM}| < 1.96$
- The burden of proof is reversed: the bank must show that its model is better, not the supervisor that it is worse

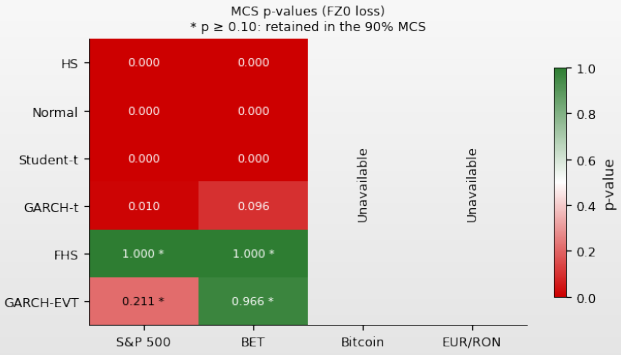
DM (A minus HS)	S&P 500	BET	Bitcoin	EUR/RON
GARCH-t	−4.21	−5.25	—	—
FHS	−4.69	−5.53	—	—
GARCH-EVT	−4.67	−5.57	—	—

- Colour indicates the statistical zone
- Bitcoin and EUR/RON: comparison unavailable, no zone assigned

The Model Confidence Set

- Model confidence set, MCS (Hansen, Lunde & Nason (2011))
  - contains the best models with asymptotic probability at least $1 - \alpha_{MCS}$
  - $\alpha_{MCS} = 10\%$ below; under the method's regularity conditions
- Algorithm
  - Test H_0: all models in the current set have equal expected loss
  - If rejected, eliminate the model with the largest standardised average loss and repeat
  - Critical values from a block bootstrap (blocks of 10 days, 1000 replications)
- MCS p-value of a model: the largest test p-value up to its elimination; keep models with $p \geq 0.10$
- A large MCS is an honest answer: the data do not separate the models

Which Models Survive?



- MCS p-values, FZ0 loss of (VaR 2.5%, ES 2.5%)
  - models with $p \geq 0.10$ form the 90% MCS
- S&P 500: FHS and GARCH-EVT
  - GARCH-EVT MCS p 0.211; GARCH-t out (p 0.010)
- BET: FHS and GARCH-EVT
  - GARCH-t just out (p 0.096)
- Bitcoin and EUR/RON: MCS unavailable
  - Missing conditional forecasts prevent the six-model comparison
  - No ranking of the six models can be inferred for these two markets

MFM_ch8_comparative

Split Conformal Quantiles: a Distribution-Free Promise

- **Conformal prediction** (Lei et al. (2018), Angelopoulos & Bates (2021))
  - the models so far assume a distribution (Normal, t, GPD) or a stable history (HS)
  - conformal prediction turns any forecast into a quantile with a coverage guarantee
- Score $s_t = L_t/\hat{\sigma}_t$, $\hat{\sigma}_t$ the standard deviation of the previous 250 returns; calibration set: the last $n = 250$ scores, sorted $s_{(1)} \leq \cdots \leq s_{(n)}$
- Conformal VaR: $\mathrm{VaR}_t = \hat{\sigma}_t\, s_{(k)}$ with $k = \lceil (n+1)(1-\alpha) \rceil$ ($\lceil x \rceil$: smallest integer $\geq x$): today's volatility times the k-th smallest past score; $n = 250$, $\alpha = 0.01$: $k = 249$, the second largest score
- Guarantee if the $n+1$ scores are **exchangeable** (joint law invariant to reordering): $1 - \alpha \leq P(L_t \leq \mathrm{VaR}_t) \leq 1 - \alpha + \frac{1}{n+1}$ (no ties)
- Here the guarantee is only approximate (extensions: ▸ Appendix)
  - volatility clustering breaks exchangeability; $\hat{\sigma}_t$ comes from overlapping rolling windows
  - genuine split conformal fits the score once, on a separate sample

Adaptive Conformal Inference (ACI)

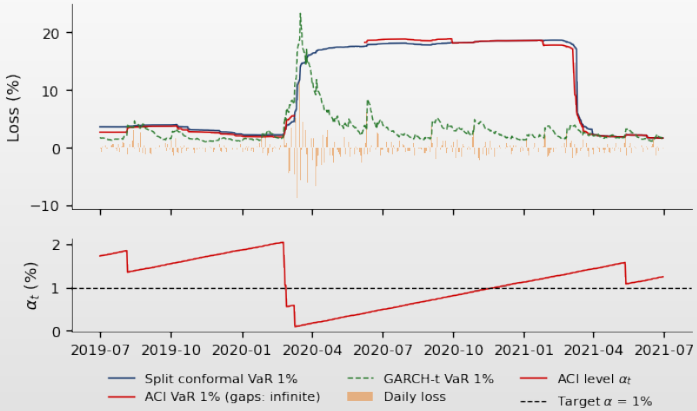


Emmanuel Candès, co-author of adaptive conformal inference

Photo: Cmichel67 (2026); CC BY-SA 4.0; Wikimedia Commons

- Gibbs & Candès (2021): the working level is updated after each day
  - $\alpha_{t+\mathbf{1}} = \alpha_t + \gamma\,(\alpha - \mathrm{err}_t)$, $\mathrm{err}_t = 1\{L_t > \mathrm{VaR}_t\}$
  - α_t: level of day t's conformal quantile; $\gamma > 0$: step size; $\alpha_{\mathbf{1}}$: starting level
- After a breach α_t falls (VaR rises); after calm days it slowly rises again; we use $\gamma = 0.005$
- Guarantee for any sequence: $\left|\frac{1}{T}\sum_t \mathrm{err}_t - \alpha\right| \le \frac{\max(\alpha_{\mathbf{1}}, 1-\alpha_{\mathbf{1}}) + \gamma}{\gamma T}$, a long-run **average**, not each day or each crisis
- If $\alpha_t < 1/(n+1)$, the required quantile does not exist: the VaR becomes infinite

Conformal VaR Through COVID-19 (1/2)



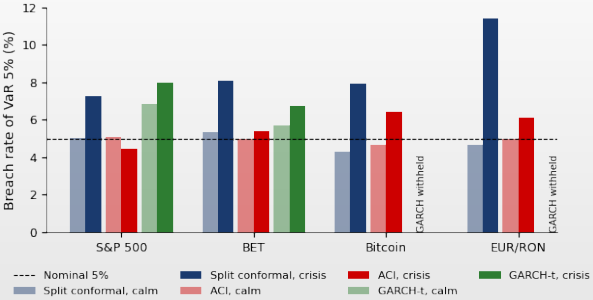
MFM_ch8_conformal

Conformal VaR Through COVID-19 (2/2)

- S&P 500, July 2019–June 2021, VaR 1%
  - top: split conformal, ACI and GARCH-t; bottom: ACI level α_t
- 20.02–30.04.2020: 50 days, 0.5 breaches expected
  - split conformal 6, ACI 4 (8% of days)
- ACI set VaR $= \infty$ on 37 of these days
  - no further breaches, but an infinite VaR carries no information
- Split conformal stays near 18% for a year
  - two factors stay inflated for about a year: today's $\hat{\sigma}_t$ (a 250-day standard deviation that still contains March 2020) and $s_{(\mathbf{249})}$, the second largest of the last 250 scores, which stays extreme while the crash days are in the calibration set
  - illustrative numbers: if $\hat{\sigma}_t$ doubles from 1.2% to 2.4% and $s_{(\mathbf{249})} = 7$, the VaR moves from 8.4% to 16.8%
  - GARCH-t adapts within days

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Coverage in Calm and Crisis Periods



- VaR 5%; crisis day: known in advance
  - previous 20-day volatility above the 90th percentile of the previous 1000 days
- Split conformal breach rates
  - all days (S&P 500, BET, Bitcoin, EUR/RON): 5.34%, 5.63%, 4.58%, 5.06%
  - crisis days: 7.29%, 8.08%, 7.95%, 11.43%
- ACI: equity crisis rates near 5%
  - S&P 500 4.49%, BET 5.38%
  - for VaR 1% only by an infinite VaR on 13.4% of all 4 959 S&P 500 evaluation days
  - marginal coverage is not crisis coverage

MFM_ch8_conformal

Case Study (1/8): Can ES Be Backtested Using Only ES Forecasts?

- Bayer & Dimitriadis (2022): can ES forecasts be backtested with nothing but the realised returns and the ES forecasts themselves?
- Why it matters: FRTB puts capital on ES 2.5% (section "The Regulator's View")
  - the ES tests of the section "Backtesting Expected Shortfall" also need VaR forecasts, the volatility or the whole forecast distribution
  - supervisors do not necessarily receive these inputs
  - a rejection of such a joint test does not say which input is wrong (paper, Sec. 1.1, Definition 1.1)
- Idea: a Mincer–Zarnowitz regression of the returns on the ES forecasts, H_0: intercept 0, slope 1 (a correct forecast needs no correction)
  - ES alone is not elicitable (section "Elicitability and Scoring Functions"), but (VaR, ES) is jointly elicitable (Fissler & Ziegel (2016)), so a joint quantile–ES regression can be estimated (Patton, Ziegel & Chen (2019))

Case Study (2/8): the ES Regression

- Returns convention: $\hat{e}_t = -\widehat{\mathrm{ES}}_t < 0$, the ES forecast on the return scale, $\tau = 2.5\%$ (the paper's symbol for our α)
  - ES equation (Eq. 1.4–1.6): $r_t = \gamma_1 + \gamma_2 \hat{e}_t + u_t^e$, $\mathrm{ES}_\tau(u_t^e \mid \mathcal{F}_{t-1}) = 0$
  - γ_1: intercept, γ_2: slope; u_t^e: error whose conditional ES is zero, so $\gamma_1 + \gamma_2 \hat{e}_t$ is the true conditional ES; correct forecasts: $\gamma_1 = 0$, $\gamma_2 = 1$
- ESR (expected shortfall regression) also needs a quantile equation, because ES is estimated jointly with VaR
  - **Auxiliary ESR**: quantile equation on $(1, \hat{v}_t)$, needs VaR forecasts $\hat{v}_t$; **Strict ESR**: quantile equation on $(1, \hat{e}_t)$, ES forecasts only
  - **Intercept ESR** (Eq. 1.14–1.15): $r_t - \hat{e}_t = \gamma_1 + u_t^e$, slope fixed at 1; one-sided t-test of H_0: $\gamma_1 \geq 0$ against $\gamma_1 < 0$ (ES underestimated)

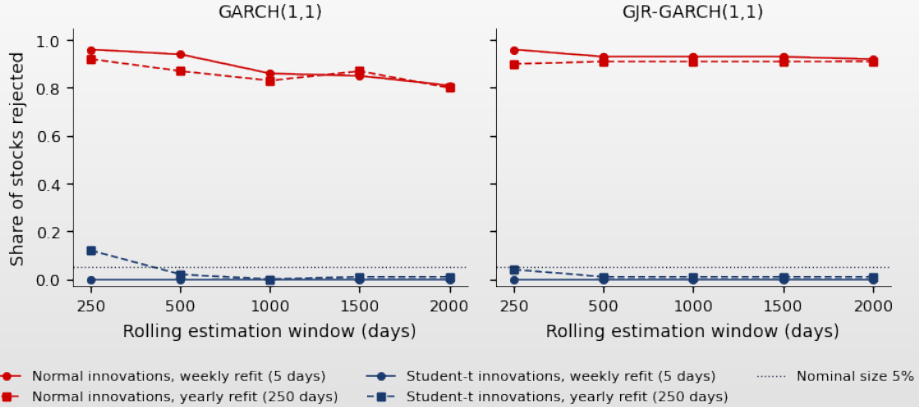
Case Study (3/8): What Is Estimated, Under Which Assumptions

- M-estimator minimising an FZ0-type loss (paper, Eq. 1.16–1.18)
  - M-estimator: the parameter value that minimises the sample average of a loss; OLS is the squared-error case
  - asymptotics under misspecification (paper, Theorem 1.4)
  - R packages esback and esreg
- Two assumptions to keep in mind
  - Strict and Intercept ESR: the quantile equation is correct only if VaR is an affine function of ES (e.g. pure scale models) (paper, Sec. 1.2)
  - The misspecification-robust sandwich covariance assumes a location-scale model for the conditional distribution (paper, Sec. 1.5)
  - sandwich covariance: $A^{-1}BA^{-1}$, A: curvature of the average loss, B: variance of its gradient; location-scale model: $r_t = \mu_t + \sigma_t z_t$ with i.i.d. standardised shocks z_t

Case Study (4/8): Size and Power in the Paper's Simulations

- Monte Carlo design (paper, Sec. 2)
  - 10 000 replications, T from 250 to 5 000
  - EGARCH-t (exponential GARCH, Student-t shocks) calibrated to the S&P 500; AR(1)-GARCH(1,1): first-order autoregressive mean, GARCH variance; two Student-t GAS (generalised autoregressive score) models
  - competitors: McNeil & Frey (2000) and the calibration tests of Nolde & Ziegel (2017)
- Size at 5%, EGARCH-t, $T = 250$ and $T = 1\,000$ (Table 1)
  - Strict ESR: 0.09 and 0.05 with the robust covariance, 0.24 and 0.11 with the classical one
  - simple conditional calibration test: 0.29 and 0.14
- Power (Fig. 3): ESR detects what residual tests miss
  - exceedance-residual tests barely react to wrong volatility dynamics or a wrong level $\tilde{\tau} \neq \tau$
  - a bank could report ES for a milder level and pass the older tests

Case Study (5/8): Tails Matter More Than Refits



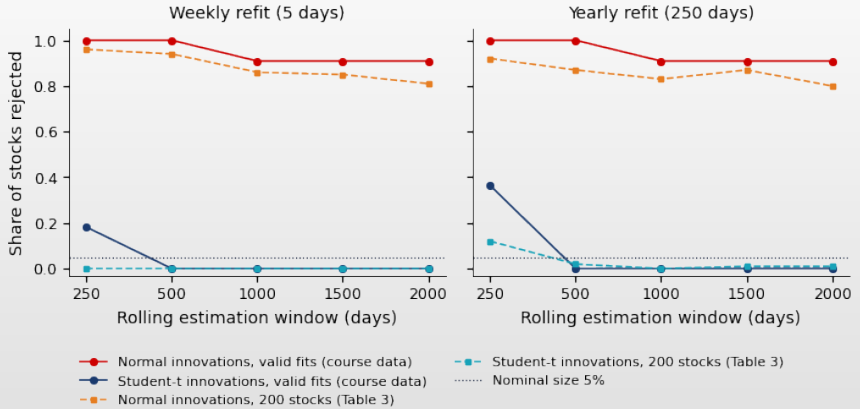
MFM_ch8_esr_case

Case Study (6/8): Tails Matter More Than Refits

- Bayer & Dimitriadis (2022), Table 3: 200 largest S&P 500 stocks, 2010–2019
  - share with ES 2.5% rejected by the one-sided Intercept ESR at 5%
  - windows of 250–2 000 days; refits every 5 (solid) or 250 days (dashed)
- Normal innovations: 0.80–0.96 rejected
  - in all 50 cells of Table 3: 5 windows (250, 500, 1 000, 1 500, 2 000 days) $\times$ 5 refit frequencies (5, 21, 62, 125, 250 days) $\times$ GARCH/GJR-GARCH
  - the chart shows only the 5- and 250-day refits
  - GJR-GARCH (Glosten–Jagannathan–Runkle): GARCH with an extra reaction to negative shocks
- Student-t: at most 0.12
  - up to 0.12 with 250-day windows, at most 0.01 from 1 000 days
- Fat tails and a long window matter most
  - the refit frequency matters only with short windows

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Case Study (7/8): Table 3 Replicated on the Course Data



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Case Study (8/8): Table 3 Replicated on the Course Data

- Solid: 11 large S&P 500 stocks with prices from 2002
  - January 2010 – August 2019 (2 432 days); dashed: Bayer & Dimitriadis (2022), Table 3
  - GARCH(1,1) with a constant mean (the paper does not state the mean equation)
  - 25 window–refit combinations (the same 5×5 grid, GARCH only); Intercept ESR with esback
  - each rejected stock adds $1/11 \approx 0.09$ to a share
- Normal: 0.82–1.00 rejected (paper 0.80–0.96)
  - Student-t: at most 0.00 from 1 000 days (paper 0.01)
  - but 0.09–0.55 at 250 days (paper 0.00–0.12)
- The central result replicates; short-window shares are higher

MFM_ch8_esr_case

An Open Question: Crisis-Conditional Coverage

- Distribution-free VaR guarantees are **marginal**: split conformal needs exchangeability, ACI controls only the long-run average (section "Conformal Prediction for Tail Risk")
- Formal question, with a crisis flag $C_t \in \mathcal{F}_{t-1}$ known ex ante ($C_t = 1$ on a crisis day, 0 otherwise): is the breach rate on crisis days still α?
  - H_0: $P(L_t > \mathrm{VaR}_t \mid C_t = 1) = \alpha$ against H_1: $P(L_t > \mathrm{VaR}_t \mid C_t = 1) \neq \alpha$
  - Falsified by a crisis breach rate outside the Binomial acceptance region, after correcting for dependent breaches and for multiplicity
- One pass of the discovery loop with an AI (artificial intelligence) assistant: an LLM (large language model) such as Claude, ChatGPT or Gemini
  - literature with DOIs checked on Crossref; replicate a known number first
  - three rival explanations: stale scale, changing tail shape, regime-selection artefact
  - pre-register the tests; ask the assistant for a hostile referee report
  - Reusable prompts and a research checklist: ▸ Appendix
- Stakes: capital is needed exactly on the days when marginal guarantees say least

Mini-Case: Does a GARCH Scale Repair Crisis Coverage?

- Assistant proposal: the standardised loss $s_t = (L_t + \mu_t)/\sigma_t$ as score
  - μ_t, σ_t: GARCH-t forecasts of the mean and volatility
  - H_0: crisis breach rate of VaR 5% = 5%; exact two-sided Binomial test, Holm correction (a step-down adjustment of the p-values for multiple tests) across the four markets

Market	Crisis days	Split conformal	Holm p	GARCH-scaled	Holm p
S&P 500	613	7.01%	0.052	2.77%	—
BET	506	8.10%	0.009	3.95%	—
Bitcoin	150	8.00%	0.092	—	—
EUR/RON	245	11.43%	<0.001	—	—

ai_discovery_case.py

Mini-Case: Reading the Result

- Sample change first
  - the GARCH-scaled scores need 250 calibration days
  - common S&P 500 sample: 4 709 days, 613 crisis days (full sample of the conformal section: 713)
  - split conformal crisis rate: 7.01% (full sample: 7.29%)
- GARCH-scaled crisis rates are below 5% on S&P 500 and BET
  - The four-market Holm comparison for GARCH scaling is unavailable: GARCH inputs are incomplete for Bitcoin and EUR/RON
  - Split conformal: Holm rejects on BET (p 0.009) and EUR/RON (p <0.001) at 5%
- Non-rejection does not prove crisis coverage
  - Binomial p-values ignore clustered breaches
  - the crisis samples are small

Which Model Would You Provisionally Select?



National Bank of Romania, Bucharest

Photo: Britchi Mirela (2018); CC BY-SA 4.0; Wikimedia Commons

- **Calibration**
  - FHS and GARCH-EVT are not rejected by Z_2 at 5% and remain in the 90% MCS on S&P 500 and BET (scorecard: ▸ Appendix)
- **Comparison**
  - lowest mean FZ0: FHS on S&P 500; FHS and GARCH-EVT are equal to three decimals on BET
  - Both remain in the 90% MCS on these two markets
  - Bitcoin and EUR/RON: the six-model comparison is unavailable because GARCH-dependent forecasts are incomplete
- **Unresolved**
  - DQ rejects every S&P 500 model; crisis-conditional coverage fails; one year of data has little power
- **Provisional choice**
  - a GARCH filter with a flexible tail, the other as challenger, re-examined as evidence accrues
  - a Romanian portfolio (BET and EUR/RON): Seminar 8, C2

Check Your Understanding, then Chapter 9

Retrieval questions

- ⊡ Why does the rule "$\mathrm{LR}_{uc} > 3.84$" reject a correct VaR 1% in about one year in ten?
- ⊡ Why can a model with the right number of breaches still fail?
- ⊡ Why can ES be backtested but not ranked on its own?
- ⊡ What does ACI guarantee?
- ⊡ What does ACI not guarantee?

Chapter 9: realised volatility

- ⊡ Measure daily variance from intraday returns
- ⊡ Evaluate volatility forecasts with robust scores such as QLIKE (quasi-likelihood loss) and the MCS

Numeric Self-Checks

1. Kupiec: $x = 3$ breaches of VaR 1% in $T = 500$ days; compute $\hat{\pi}$ and LR_{uc}, then decide at 5%
2. FZ0: one day, $\alpha = 5\%$, $v = 2\%$, $e = 2.5\%$; compute the score for $L = 3\%$ and for $L = 1\%$, in percent and in decimals
3. Local power: $T = 1000$, $\alpha = 1\%$, true $\pi = 2\%$; compute λ and the power, then compare with the dashed curve of the power chart
4. Z_1 and Z_2: $T = 250$, $\alpha = 2.5\%$, five breaches with $L_t/\mathrm{ES}_t = 1.1,\ 0.9,\ 1.3,\ 1.0,\ 1.2$; compute both and explain their signs

Answers with intermediate steps: Appendix. Worked exercises on the course data: Seminar 8, A1, A4, B2

Further Reading and Resources

- Key papers
  - Fissler & Ziegel (2016): VaR and ES are jointly elicitable, the basis of the FZ0 loss
  - Nolde & Ziegel (2017): comparative backtests and the traffic light for VaR and ES
  - Acerbi & Szekely (2014): model-free ES backtests, including Z_2
- Entropy-based VaR and ES forecasts: Pele, Lazar & Dufour (2017), Pele & Mazurencu-Marinescu-Pele (2019), Pele, Lazar & Mazurencu-Marinescu-Pele (2019)
- When two ES forecasts can be told apart: Pele & Mazurencu-Marinescu-Pele (2026)
  - about one in five pairwise ES comparisons in global markets is precision-fragile
  - a consequence of the small effective tail sample αT
- Textbooks: Franke, Härdle & Hafner (2019) (VaR and backtesting chapters) and Härdle, Chen & Overbeck (2017)
- Quantinar: Machine learning in Financial Risk
- Code and data: github.com/danpele/MFM/tree/main/Quantlets/Ch_08; S&P 500, BET, Bitcoin: daily closes from the course data; EUR/RON: BNR reference rate

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Estimation Risk, the Fixed-Scheme Expansion

- Fixed scheme (Escanciano & Olmo (2010)): $\frac{1}{\sqrt{P}} \sum_t (\hat{I}_t - \alpha) = \frac{1}{\sqrt{P}} \sum_t (I_t - \alpha) + \sqrt{P/R}\, D' \sqrt{R}(\hat{\theta} - \theta_0) + o_p(1)$
  - First term: the centred hits with the true parameters θ_0; second term: the effect of the estimation error $\hat{\theta} - \theta_0$
  - $D = E\left[\partial P(L_t > \mathrm{VaR}_t(\theta) \mid \mathcal{F}_{t-1})/\partial\theta\right]$ at θ_0, the sensitivity of the breach probability to the parameters; the second term vanishes only if $P/R \to 0$
  - The estimation term adds a variance of order P/R to $\sqrt{P}(\hat{\pi} - \alpha)$, so χ^2 critical values are too small when P/R is large
- Rolling and recursive schemes change the form of the correction; the expansion assumes smooth $\mathrm{VaR}_t(\theta)$, a $\sqrt{R}$-consistent $\hat{\theta}$ and stationarity
- Remedies: the corrected variance or subsampling of Escanciano & Olmo (2010), or a parametric bootstrap that re-estimates the model on every simulated path

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Estimation Risk: Simulation Results

- Fixed scheme: 400 paths, $R = 1000$, Kupiec test at 5%
- 324 admissible fits; 75 numerically unidentified; 1 fails the finite-variance admissibility condition
- Estimated-parameter rejection rates are withheld; dropping 76 paths would condition on estimation success
- True parameters: 10.0% at $P = 250$, 5.2% at $P = 1000$, 4.0% at $P = 5000$
- Monte Carlo standard error at a 5% rejection probability: about 1.1 percentage points

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Osband's Principle and Identification Functions

- Osband's principle (Fissler & Ziegel (2016)): consistent scores are built from an identification function V, with $E_F[V(x, L)] = 0$ only at the true value
- VaR: $V(v, L) = 1\{L \leq v\} - (1 - \alpha)$; the pinball loss is its integral in v
- (VaR, ES): $V_1 = \alpha - 1\{L > v\}$ and $V_2 = e - v - \frac{1}{\alpha} 1\{L > v\}(L - v)$; their expectations vanish only at the true pair
- The level sets of ES are not convex under mixtures, so no identification function of e alone exists (Seminar 8, A8)
- FZ0 is the member of the FZ family whose differences are invariant to the scale of the losses (Patton, Ziegel & Chen (2019))

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Sequential Monitoring of Risk Forecasts

- A regulator checks the forecasts every day: repeating a fixed-sample test (e.g. rolling Z_2) inflates the probability of at least one false alarm
- Hoga & Demetrescu (2023): monitoring statistics for VaR and ES with boundary functions that keep the probability of any false alarm over the whole horizon below the nominal level
- Compared with the traffic light: evidence accumulates from the start of monitoring instead of a single 250-day snapshot
- The ES regression backtest (Bayer & Dimitriadis (2022)) of the case study can be monitored the same way; both address the one-shot design of the traffic light

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Conformal Prediction Beyond Exchangeability

- Barber, Candès, Ramdas & Tibshirani (2023): coverage without exchangeability
  - the coverage gap is bounded by weighted total-variation distances
  - between the score vector and the same vector with the test score swapped with calibration score i
- How large these distances are under volatility clustering is an empirical question
- Gibbs, Cherian & Candès (2025): exact coverage conditional on a pre-specified class of covariate shifts is attainable; which class captures a financial crisis is open
- Choosing the ACI step γ: Zaffran et al. (2022) aggregate ACI experts over a grid of γ values

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Case Study, Further Key Results

Finding	Source	Reading
Strict and Auxiliary ESR sizes differ by at most 0.01 for every process and sample size, including AR(1)-GARCH with $\phi = 0.5$	Table 1	In these designs, dropping the VaR forecasts barely changes the size; power is compared separately (Fig. 2–3)
Student-t, 250-day window: the 0.12 share comes from GARCH with a yearly refit; from 500 days GJR-GARCH-t and GARCH-t differ by at most 0.01	Table 3	Leverage in the variance equation barely changes the rejection shares once the window is long

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Case Study, Limitations and Extensions

- Limits stated by the authors
  - Auxiliary and Strict ESR are two-sided only (paper, Sec. 1.3)
  - The classical covariance over-rejects in small samples (paper, Sec. 2.1)
- Replication with the course data (Seminar 8, C3)
  - Run the Strict ESR (two-sided) and the Intercept ESR (one-sided) on the ES 2.5% forecasts of the six models in the four markets; compare with Z_2 and McNeil–Frey
  - Extend the Table 3 replication: GJR-GARCH, more stocks and the period after August 2019
- Open: a one-year supervisory window
  - At $T = 250$ the two-sided Intercept ESR has size 0.04 with the robust covariance and 0.15 with the classical one (Table 1, EGARCH-t); the one-sided size is reported only for $T = 2\,500$ (0.02, Table 2)
  - What is the one-sided size at one year?
  - Can a bootstrap of the t-statistic hold it at 5% without losing the power of Fig. 4?

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Scorecard Across Four Markets

- Each cell: breach rate of VaR 1% in % / Z_2 p-value / MCS p-value (FZ0)

Model	S&P 500	BET	Bitcoin	EUR/RON
HS	1.67 / <0.001 / <0.001	1.17 / 0.134 / <0.001	0.77 / 0.863 / —	0.51 / 1.000 / —
Normal	2.70 / <0.001 / <0.001	1.90 / <0.001 / <0.001	1.74 / 0.001 / —	1.06 / 0.973 / —
Student-t	2.00 / 0.002 / <0.001	1.58 / 0.003 / <0.001	0.71 / 0.625 / —	0.85 / 0.920 / —
GARCH-t	1.77 / <0.001 / 0.010	1.46 / <0.001 / 0.096	— / — / —	— / — / —
FHS	1.23 / 0.209 / 1.000	1.20 / 0.236 / 1.000	— / — / —	— / — / —
GARCH-EVT	1.15 / 0.145 / 0.211	0.97 / 0.215 / 0.966	— / — / —	— / — / —

- Bitcoin and EUR/RON: MCS unavailable
- VaR and ES backtests for HS, Normal and Student-t remain available

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Answers to the Numeric Self-Checks

1. $\hat{\pi} = 0.006$; $\ln L(\alpha) = 497 \ln 0.99 + 3 \ln 0.01 = -18.81$, $\ln L(\hat{\pi}) = 497 \ln 0.994 + 3 \ln 0.006 = -18.34$
   - $\mathrm{LR}_{uc} = 2(-18.34 - (-18.81)) = 0.94 < 3.84$, $p = 0.33$: not rejected; 5 breaches were expected
2. $L = 3\%$: $\frac{\mathbf{3-2}}{\mathbf{0.05 \cdot 2.5}} + \frac{\mathbf{2}}{\mathbf{2.5}} + \ln 2.5 - 1 = 8 + 0.8 + 0.916 - 1 = 8.716$; $L = 1\%$: $0.8 + 0.916 - 1 = 0.716$
   - in decimals only $\ln e$ changes, by $\ln 0.01 = -4.605$: 4.111 and -3.889; the difference between the two days is the same
3. $\lambda = 1000 \cdot 0.01^{\mathbf{2}}/(0.01 \cdot 0.99) = 10.10$, $\sqrt{\lambda} = 3.178$
   - power $= \Phi(1.218) + \Phi(-5.138) = 0.888$ (the second term is below $10^{-\mathbf{6}}$): the 88.8% of the dashed $T = 1000$ curve; exact power 78%
4. $\sum_t L_t I_t / \mathrm{ES}_t = 5.5$, $N_T = 5$, $T\alpha = 6.25$
   - $Z_{\mathbf{1}} = 1 - 5.5/5 = -0.10$: on breach days losses are on average 10% deeper than the ES forecast
   - $Z_{\mathbf{2}} = 1 - 5.5/6.25 = 0.12 > 0$: fewer breaches than the 6.25 expected offset that depth; far from the 5% threshold -0.70

Self-checks

The Discovery Loop (1/2): Prompts

- Prompts (tools: Semantic Scholar, Elicit, Google Scholar; check every DOI on Crossref)
  - `List peer-reviewed work since 2019 on conformal prediction under serial dependence, with DOI, exact guarantee and assumptions.`
  - `Give three rival explanations for crisis over-breaches of split conformal VaR and what each predicts for breach rates by regime.`
  - `Act as a hostile referee: list the strongest reasons this crisis effect is an artefact and the test that would settle each.`

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The Discovery Loop (2/2): Checks the Researcher Runs

- **Look-ahead bias**
  - change the observations after day $t-1$ and confirm that VaR_t, the scale and the crisis flag do not move
- **Dependent breaches**
  - Christoffersen and duration tests, or a block bootstrap of the hit sequence
- **Power**
  - 613 crisis days give 6.1 expected breaches of VaR 1%
  - a true 2% rate is detected with probability 57% by an exact two-sided Binomial test at 5% (i.i.d. breaches assumed)
- **Multiplicity**: 4 markets $\times$ 2 levels $\times$ 3 methods $=$ 24 tests
  - Holm controls the FWER (family-wise error rate)
  - Benjamini–Hochberg controls the FDR (false discovery rate)
- **Misstated theorems**
  - e.g. "ACI guarantees conditional coverage"
- **Off-by-one quantiles**
  - $k = \lceil (n+1)(1-\alpha) \rceil$ is not the default of `np.quantile`

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Project Seed, Crisis-Conditional Coverage

- Questions
  - can a distribution-free VaR 1% and ES 2.5% forecast achieve crisis-conditional coverage?
  - does this coverage hold in all four markets under a pre-registered test?
- Replicate first: split conformal VaR 5% crisis rates (S&P 500 7.29%, EUR/RON 11.43%) and the ACI share of infinite VaR 1% (13.4% of all S&P 500 evaluation days)
- Deliverables
  - A pre-registration (hypotheses, tests, corrections, power) dated before the first run
  - A candidate method, e.g. Gibbs, Cherian & Candès (2025) with the volatility regime as conditioning class; VaR tests by regime; ES tested with the ES regression backtest (Bayer & Dimitriadis (2022)) or Z_2
  - Code, a two-page report with every specification tried, and a referee-style critique of your own result
- Log every prompt that shaped a design choice in `AI_USE.md` and every error the assistant made in `AI_ERRORS.md`: github.com/danpele/MFM/tree/main/project

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Acronyms used in this material (1/2)

- **ACI**: Adaptive Conformal Inference
- **AI**: Artificial Intelligence
- **AR**: AutoRegressive (model), as in AR(1)-GARCH
- **BCBS**: Basel Committee on Banking Supervision
- **BET**: Bucharest Exchange Trading (index)
- **BIS**: Bank for International Settlements
- **BNR**: Banca Națională a României — *the National Bank of Romania*
- **COVID-19**: COronaVIrus Disease 2019
- **DGP**: Data-Generating Process
- **DM**: Diebold–Mariano (test)
- **DQ**: Dynamic Quantile (test)
- **EGARCH**: Exponential GARCH
- **ES**: Expected Shortfall
- **ESR**: Expected Shortfall Regression (backtest)
- **EVT**: Extreme Value Theory
- **FDR**: False Discovery Rate
- **FHS**: Filtered Historical Simulation
- **FRTB**: Fundamental Review of the Trading Book

Acronyms used in this material (2/2)

- **FWER**: Family-Wise Error Rate
- **FZ**: Fissler–Ziegel (family of scoring functions for VaR and ES)
- **FZ0**: Fissler–Ziegel loss, zero-homogeneous version
- **GARCH**: Generalised AutoRegressive Conditional Heteroskedasticity
- **GARCH-EVT**: GARCH filter combined with Extreme Value Theory for the tail
- **GAS**: Generalised Autoregressive Score (model)
- **GJR-GARCH**: Glosten–Jagannathan–Runkle GARCH
- **GPD**: Generalised Pareto Distribution
- **HAC**: Heteroskedasticity and Autocorrelation Consistent (standard errors)
- **HS**: Historical Simulation
- **IMA**: Internal Models Approach
- **LLM**: Large Language Model
- **MCS**: Model Confidence Set
- **OLS**: Ordinary Least Squares
- **PIT**: Probability Integral Transform
- **POF**: Proportion Of Failures (test)
- **QLIKE**: Quasi-LIKElihood (loss function)

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